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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Don't Underestimate Earnings Growth

February 21, 2019

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Last Week's S&P 500 Index: +2.6%

Key takeaways

- *The five top-performing sectors since the market trough on December 24, 2018, are trading at a discount to their five-year valuations, which suggests more room for the S&P 500 Index to rise.*
- *Investors should ignore the market noise, including headlines on trade negotiations, and stay focused on how a company's earnings-per-share growth is performing.*

The S&P 500 Index is up 10.7% year-to-date and 18.3% since the trough on December 24, 2018. The five best-performing sectors, which all exceeded 18% returns during the rapid market run-up since the recent low set in December, are: Industrials (25.2%), Energy (22.3%), Information Technology (20.8%), Consumer Discretionary (20.3%), and Financials (18.1%). Can the strong sector returns continue to lead the S&P 500 Index higher? Perhaps a valuation-lens sector-by-sector breakdown will give us a sense for where the rest of the year is heading.

Industrials is trading at 15.7x forward price-to-earnings (P/E) versus its five-year 18.4x average. Energy is trading at 18.2x forward P/E versus its five-year 21.7x average (excluding negatives). Information Technology is trading at 17.4x forward P/E versus its five-year 20.4x average. Consumer Discretionary is trading at 20.0x forward P/E versus its five-year 21.5x average. And Financials is trading at 11.6x versus its 5-year 14.8x average. In other words, all five top-performing sectors are trading at a discount to their five-year valuations, meaning you are both paying less per unit of future earnings now compared to historic averages and enjoying a healthy 14.8% average discount.

Monday morning's top news included one of the largest Consumer Staples companies posting stellar earnings in line with other companies, which have also posted strong earnings in the prior weeks of this reporting season. As of last week, with 72% of the companies reporting their fourth-quarter earnings, 78% managed to beat or meet analysts' earnings estimates when the markets were pricing in a poor quarter, as indicated by the market pullback in late 2018. Throughout the earnings season, most market reporters are suggesting the equity market is moving higher on whispers of a trade deal between the U.S. and China. **But what if the markets are actually reacting naturally to basic fundamental earnings-per-share corporate results?** The markets are affirming that both actual growth this reporting earnings season (2018) has come in largely as expected and guidance on expected growth in future earnings indicates a mid-single-digit growth rate between 5%-8% (2019). According to FactSet, this earnings season "the market is rewarding positive earnings surprises more than average and punishing negative earnings surprises less than average."

Of course, some investors may want to follow the daily headlines about a trade settlement, but we favor staying focused on how a company's earnings-per-share growth is performing. What if a trade deal is simply the icing on the cake? With the exception of the Energy sector, where earnings growth appears uncertain in 2019, we expect the market-leading sectors, including Industrials (9%), Information Technology (3%), Consumer Discretionary (9%), and Financials (9%), to all post positive earnings. If earnings continue rising in this economic cycle that began in 2009 (post the financial crisis), then the markets can keep climbing—yes or no? We think yes.

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